NANYANG TECHNOLOGICAL UNIVERSITY SINGAPORE

# Week 7 – Financing Ships and Shipping Company





Prepared by Dr. Kelvin Pang

24 September 2026

# Learning Objectives

1. Why learn shipping finance?
2. Understanding the impact of IMO's Greenhouse Gas (GHG) emissions strategy on ship financing strategies.
3. Understand and explain the EU Emission Trading System (ETS).
4. Understand the world financial system for shipping finance.

# Learning Objectives

5. Discuss the two sources of private funds.
6. Discuss the five options of using bank finance.
7. Discuss how shipowners can use public offering and bonds to raise funds in the capital markets.
8. Discuss the five ways of using special purpose vehicles (SPVs) to raise funds.

# 1. Introduction

# 1.1 Why Learn Shipping Finance?

LO1

- Ships tie up capital.

**CMA CGM looking to order new LNG-powered giants**

By LNG Prime Staff

March 23, 2023

Last year, CMA CGM also ordered four LNG-powered 23,000-teu containerships with the same specifications at Hudong-Zhonghua as well.

Each of these containerships has a price tag of about $250 million and they are scheduled for delivery in 2025 and 2026.

- Long-term investment > average of **US$10 million** per ship annually for 25 years.
- Capital can account up to **80%** of costs of running a bulk shipping company.

# 1.1 Why Learn Shipping Finance?

- Financiers like:
  - ✓ predictable earnings;
  - ✓ well-defined corporate structure;
  - ✓ high levels of disclosure;
  - ✓ well-defined ownership.
- Investors look for consistent growth and high yields.

**Do shipping companies meet the above criteria?**

# 1.1 Why Learn Shipping Finance?

- Ships are internationally mobile.
- Owners can choose their jurisdiction (e.g., *flags of convenience ships*).
- Able to adopt less formal corporate structure than found in other businesses with similar amounts of capital.
- Revenue flows are highly volatile (as with asset values).
- Cyclicality of shipping markets in terms of freight rates and ship prices.

# 1.1 Why Learn Shipping Finance?

- Reliance on external demand (i.e., world economy and international trade).
- Substantial potential loss arising from environmental, safety, oil pollution or other navigation accidents.

Therefore, a ship is not just a transportation vehicle, it is a **speculation**.

# 1.1 Why Learn Shipping Finance?

- Investment and financing decisions in shipping industry normally involve frequent choices and trade-off of:

  ⇨ an old ship with high running costs but no debt.

  **OR**

  ⇨ a new ship with low running costs and a mortgage.

# 1.1 Why Learn Shipping Finance?

- Trade-off between:
  - ⇨ new or old tonnage;
  - ⇨ single-purpose or sophisticated multi-purpose tonnage;
  - ⇨ private funds or debt or equity financing that offers enormous range of possible ship investment and financing strategies.

# 1.2 Overview of Shipping Finance





Shipping finance practitioners are playing at the crossroads of the shipping market on one hand and the capital market on the other





# 1.2 Overview of Shipping Finance

- _____ – funds invested in a firm for the purpose of furthering its business objectives.
- May also refer to firm's acquisition of assets such as ships, manufacturing plants and machinery.
- Sources of capital investment include:
  - ⇨ equity investors
  - ⇨ banks
  - ⇨ financial institutions
  - ⇨ venture capital
  - ⇨ investors

# 1.2 Overview of Shipping Finance

Capital investments extremely important to shipping industry:

- _____
  - ⇨ operational levels.
  - ⇨ achieved through acquiring fixed assets or investment.
- _____
  - ⇨ outdated assets need to be replaced.
- _____
  - ⇨ involves rebuilding, retrofitting or overhauling an existent asset.

# 1.2 Overview of Shipping Finance

Two important decisions taken:

1. _____ **decision**

   ⇨ firm making investment in its future direction and growth;

   ⇨ will influence on future projects that firm considers and evaluates.

2. _____ **decision**

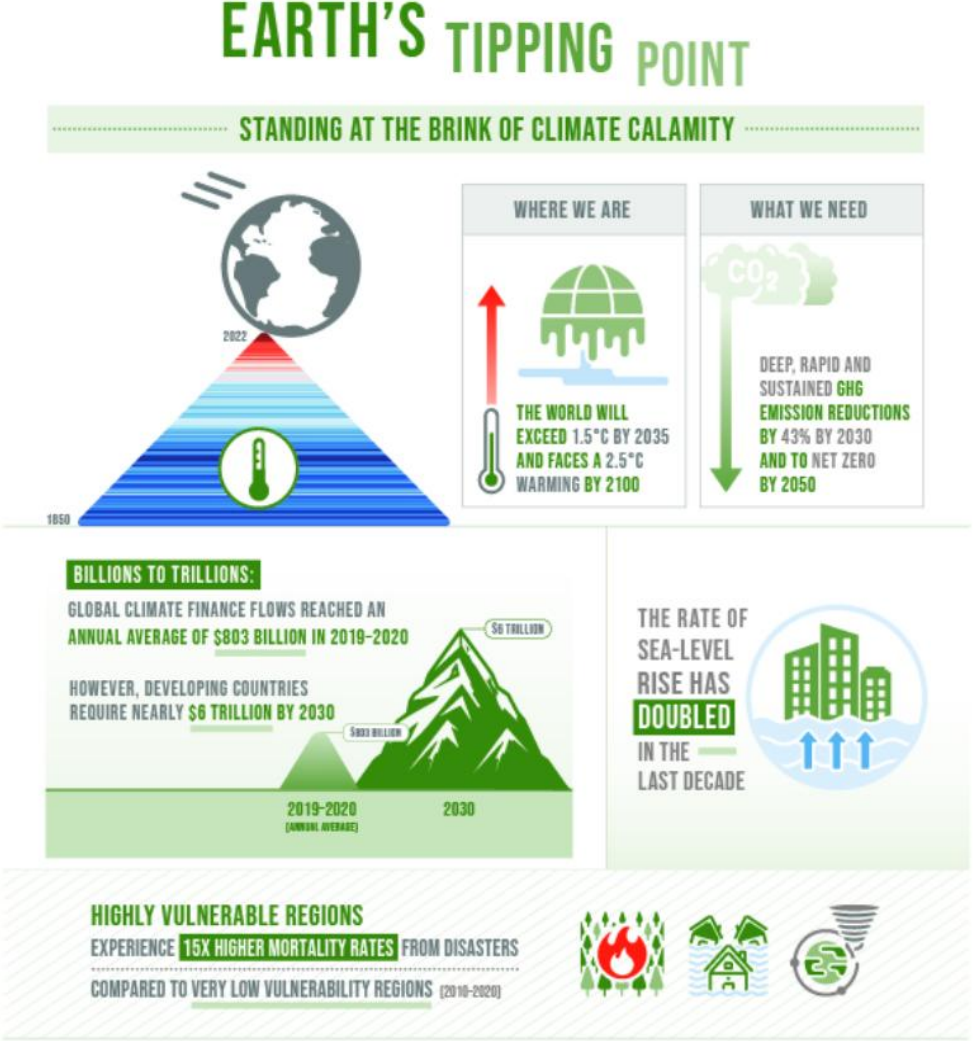
   ⇨ firm agrees to make a financial commitment to the project which involves its own set of risks.

LO2

# 2. Impact of IMO Greenhouse Gas (GHG) Emission Strategy on Ship Financing Strategies

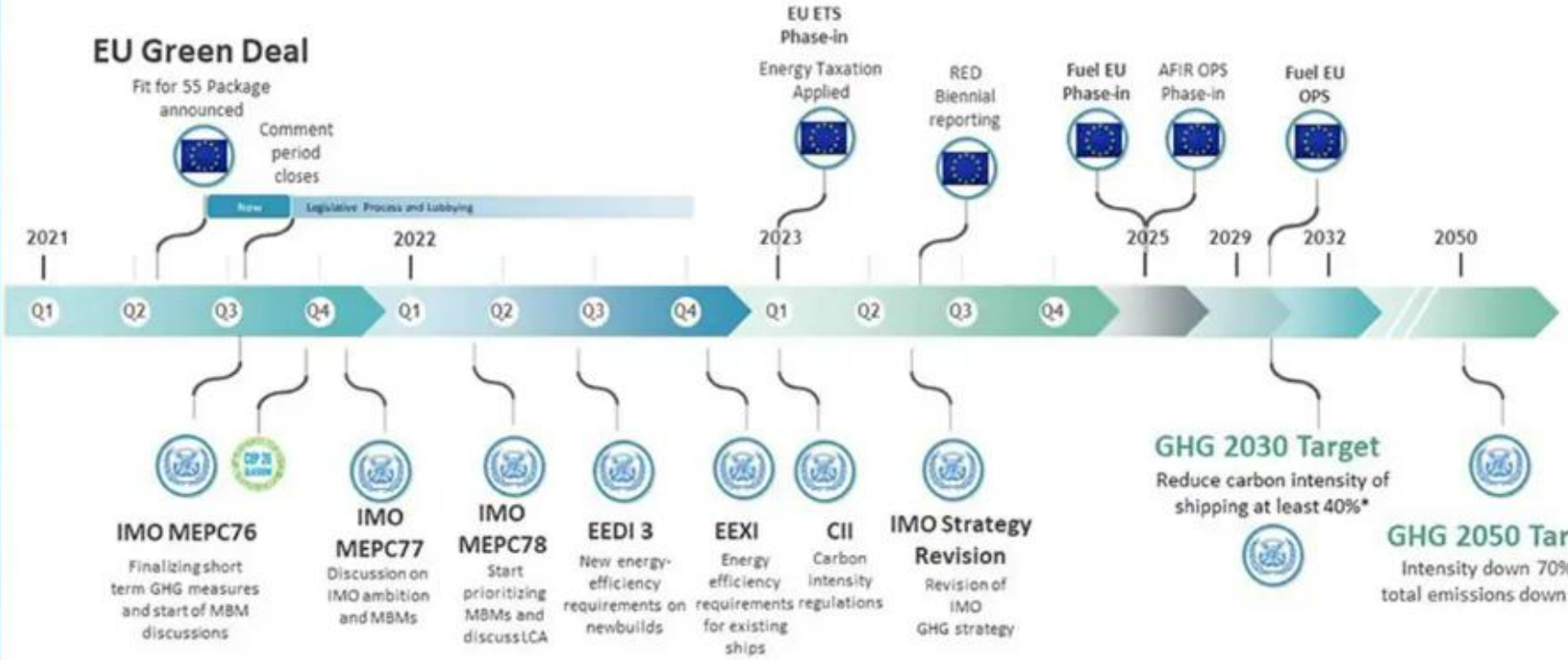
# 2.1 UNSDG Goal 13

- "Take urgent action to combat climate change and its impacts".
- Shipping industry heavily criticized.
- IMO's climate strategy based on Goal 13.



# The regulatory timeline for EU and IMO overlap

World Shipping Council



# 2.2 IMO's GHG Emission Strategy

- In July 2023, IMO Member States adopted the 2023 IMO Strategy on Reduction of GHG Emissions from Ships, with enhanced targets to tackle harmful emissions.

**How will IMO's GHG strategy affect financial strategy of shipping companies?**

## Which new fuels will be needed?

It is clear that the global introduction of alternative fuels and/or energy sources for international shipping will be integral to achieve the overall ambitions set out in IMO's initial strategy for reducing GHG emissions from international shipping.

There is room for all options to be considered, including electric and hybrid power, hydrogen and other fuel types.

There is also a lot that can be done to improve energy efficiency of ships through operational measures. The IMO-industry alliance (GIA) is looking at how the barriers to just-in-time ship operation can be mitigated. Currently, many ships expend hours or days waiting outside ports and running their diesel engines – just-in-time operations could significantly cut emissions.

2023 IMO Strategy on Reduction of GHG Emissions from Ships

## Is zero-carbon shipping going to become a reality?

In the 2023 IMO GHG Strategy, there is a clear ambition to pursue efforts towards phasing out GHG emissions from international shipping entirely, by the middle of this century. This has to become a reality.

As United Nations Secretary-General Antonio Guterres has said, "We need to put the brake on deadly greenhouse gas emissions and drive climate action.... The world is counting on all of us to rise to the challenge before it's too late"

Research and development will be crucial, as the targets agreed in the 2023 IMO GHG Strategy will not be met using fossil fuels. There is a need to make zero-carbon ships more attractive and to direct investments towards innovative sustainable technologies and alternative fuels.

LO3

# 3. Impact of EU Emissions Trading System and FuelEU on Ship Financing Strategies

# 3.1 Polluter-Pays Principle (PPP)

- Commonly accepted practice that those who produce pollution should bear the costs of managing it to prevent damage to human health or the environment.
- GHG considered a form of pollution because they cause potential harm and damage through impacts on the climate.



# 3.1 Polluter-Pays Principle (PPP)

- When pollution cost from the release of GHG not imposed on emitters (i.e. ships), these costs are ‘externalised’ to society.
- PPP can be applied to GHG through a so-called ‘_____’.

  > imposes a charge on the emission of GHG equivalent to the corresponding potential cost caused through future climate change = force emitters to internalise cost of pollution.

# 3.1 Polluter-Pays Principle (PPP)

- Two different policy instruments:

**(1)** _____ – price of pollution determined by rate of tax for each tonne of GHG emitted.

**(2)** _____ **(ETS)** – sets a cap/limit on max level of emissions for a given time period and distributes permits or allowances for each unit of GHG among firms that produce emissions.

Some firms find it easier or cheaper to reduce emissions than others, and can thus sell permits to firms for whom the cost for reducing emissions is much higher. Therefore, emissions trading takes place between high-cost and low-cost polluters, thereby determining the price of a polluting permit. The polluters have 'paid' through ensuring they have enough permits to cover their total emissions for a given year.

# 3.2 What is EU ETS?

- An emissions cap-and-trade system that aims to reduce GHG emissions by setting a limit on GHG emissions.
- Each year, a limited amount of _____ (EUAs) is made available for trading in the market.
  - reduced yearly to meet its target of 55% reduction by 2030 relative to 1990 and net zero by 2050.
  - each EUA gives companies a right to emit one tonne of $C0_2$ equivalent.

# 3.2.1 What are EUAs?

- A **type of carbon allowance** that allows companies covered by the EU ETS to emit a certain amount of $CO_2$.
- Can be bought and sold on the market.
- Variable market price of EUAs reflects cost of reducing emissions.

The amount of EUAs issued decrease annually by a linear reduction factor in excess of 4% p.a.. The EUAs are made available on the market through weekly auctions and through free allocation to certain sectors. Shipping is not granted free allocations and has been given a phase-in approach instead.

# 3.2.1 What are EUAs?

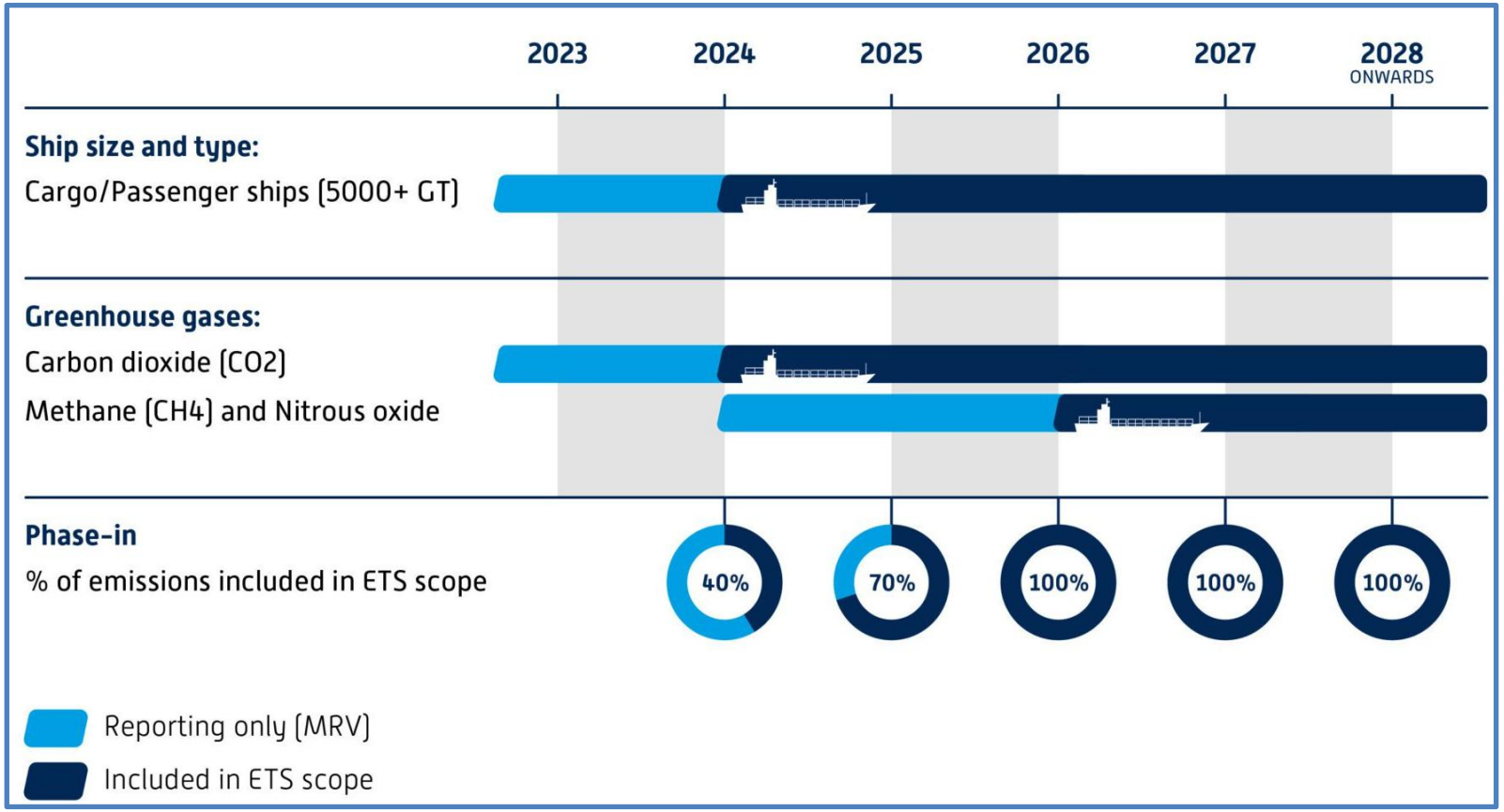
- How to purchase EUAs?

a) _____ – fixed price. Arrange several times a year by European Energy Exchange (EEX).

b) _____ – bought and sold on secondary market through brokers or online trading platforms. Price fluctuates according to supply and demand.

c) _____ – possible to bank EUAs for use in future years.

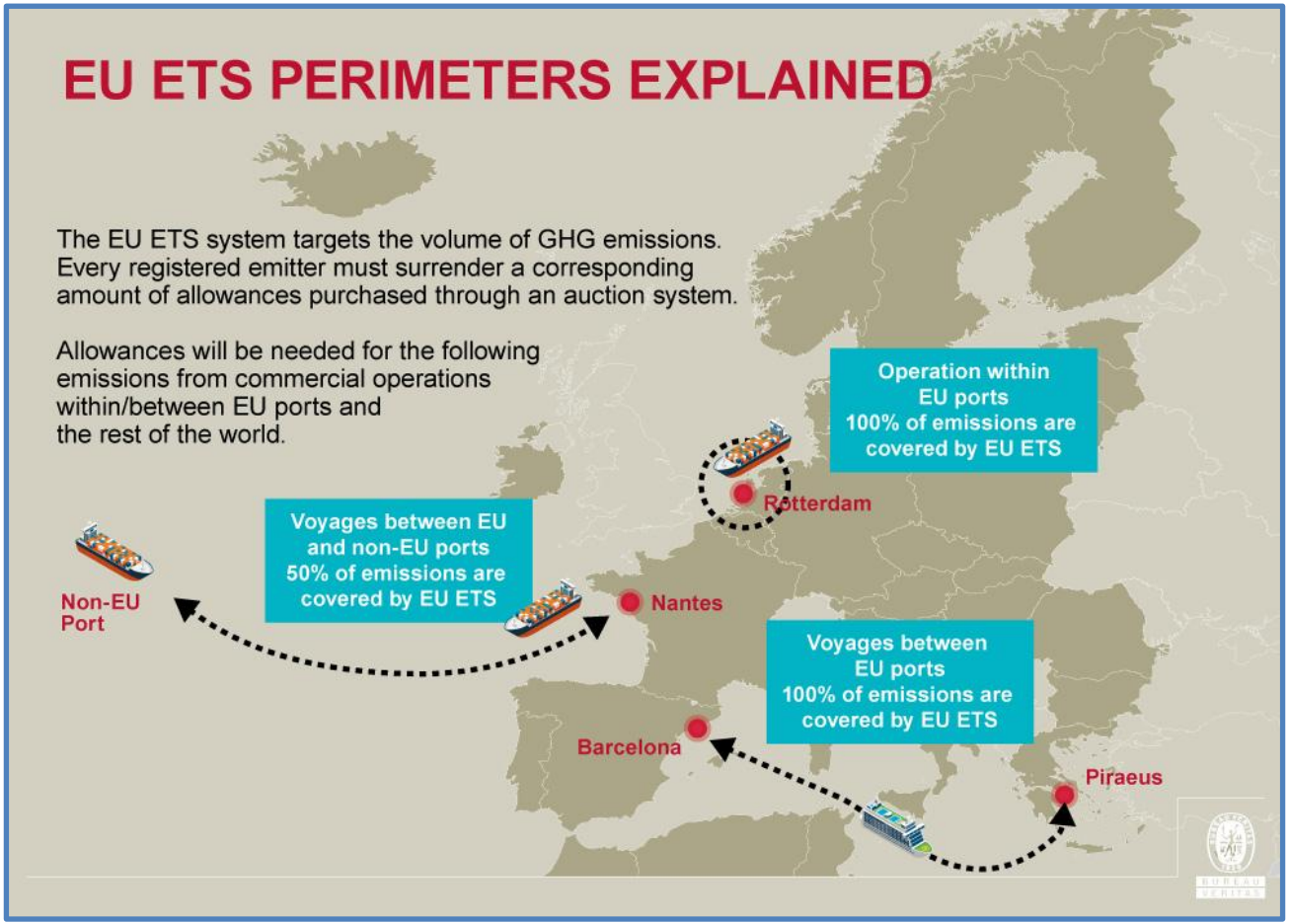
# 3.2.2 Implementation Timeline for Shipping



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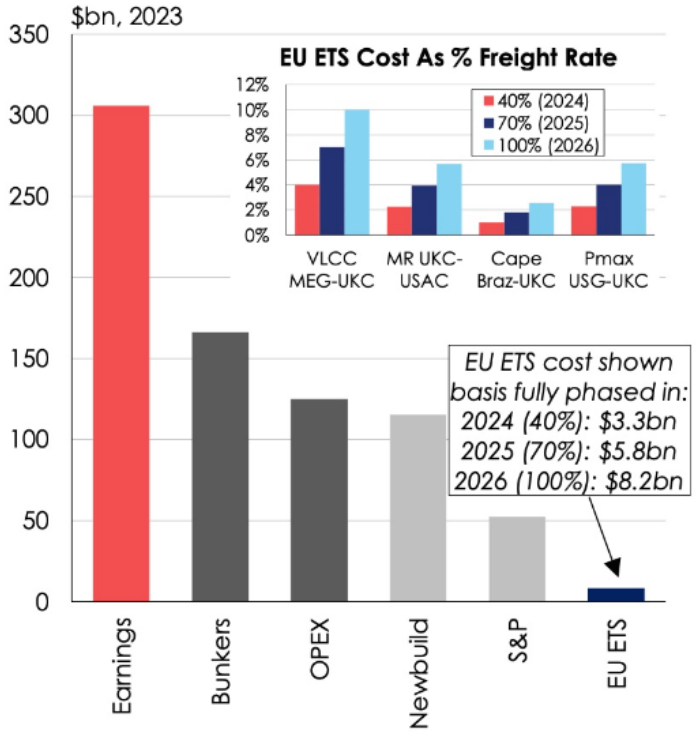
- Entails a three-year phase-in period.
- Applies to cargo and passenger ships above 5000 GT from 2024 and offshore ships above 5000 GT from 2027.
- Initially covers $CO_2$, widened to include methane and nitrous oxide ($NO_2$) from 2026.

# 3.2.3 Scope of EU ETS Directive



# 3.2.4 EU ETS Cost Implications for Shipping

The data shows that for a VLCC heading from Ras Tanura to Rotterdam EU ETS costs will be around $200,000 per voyage next year equivalent to 4% of today's freight cost, increasing to $0.5m and 10% in 2026 when the regulation is fully phased in at 100%.




Source : Clarksons Research

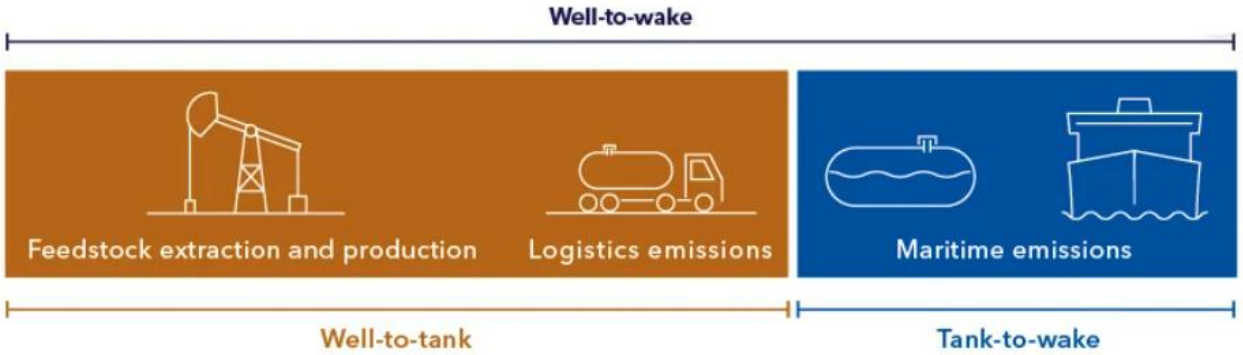

EU Carbon Permits (EUR) 86.650 9.860 (+12.84%) 1Y
95
90
86.650
80
75
70
65
Oct
Nov
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# 3.3 What is FuelEU?

- A regulatory framework introduced by the European Union aimed at reducing GHG from the maritime industry from 1 January 2025.
- Part of the 'Fit for 55 package', targeting 55% reduction emissions by 2030.
- Focuses on increasing adoption of sustainable fuels and enhancing energy efficiency.
- Sets requirements on the annual average GHG intensity of energy used by ships trading within the EU or European Economic Area.

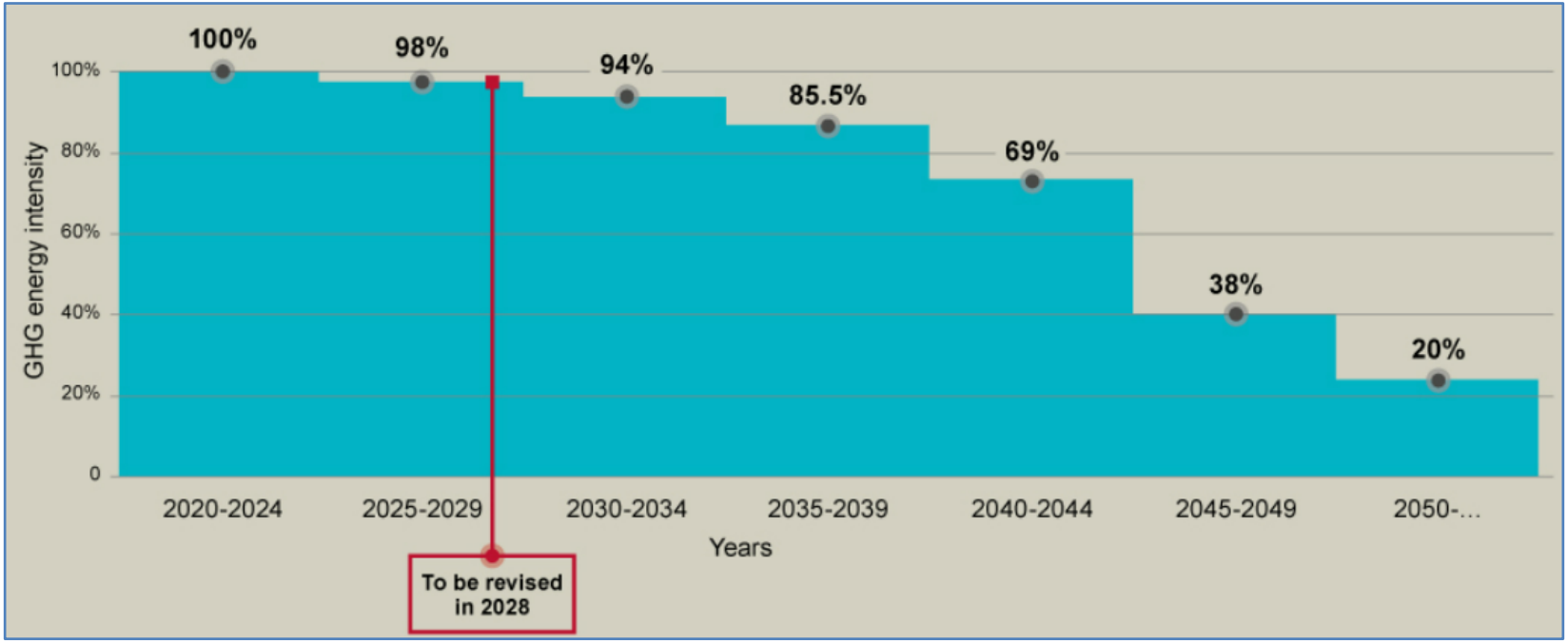
# 3.3 What is FuelEU?

- Measured as GHG emissions per energy (gCO2e/MJ).
- Calculated in a _____.
- Takes into account emissions related to extraction, cultivation, production and transportation of fuel in addition to emissions from energy used on board the ship.



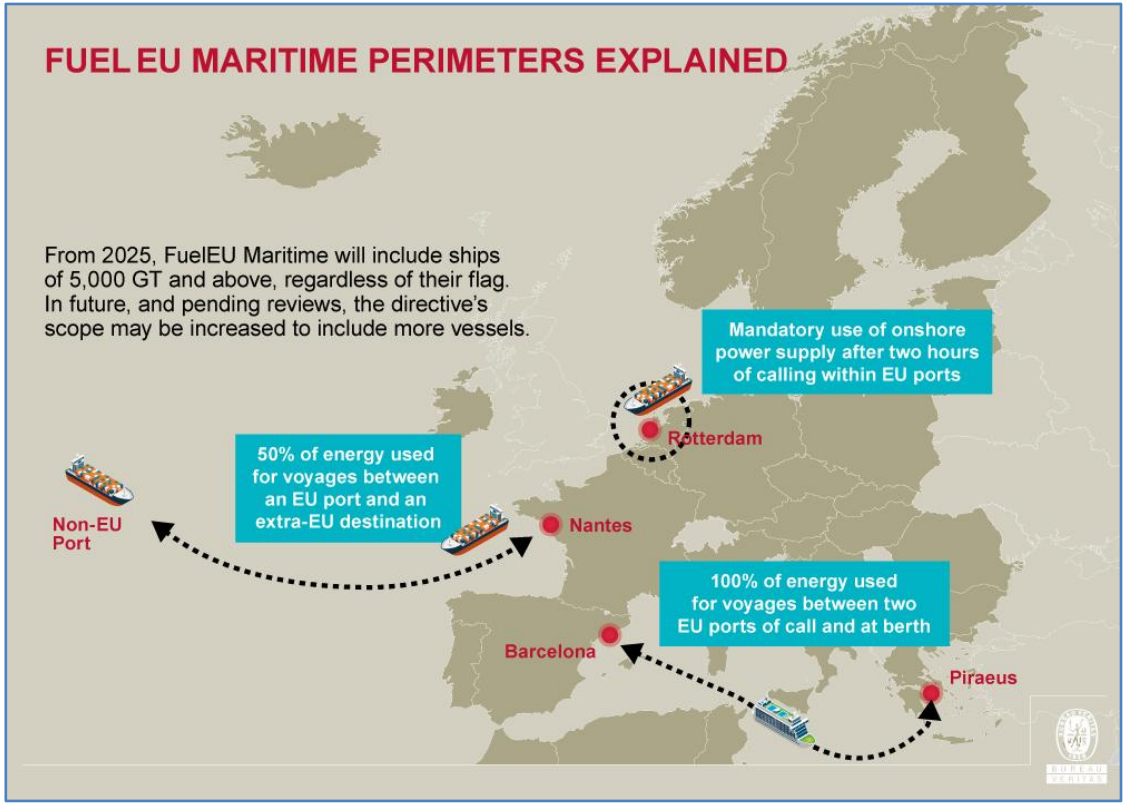
# 3.3 What is FuelEU?

- Baseline calculation starts from 2020.
- 2% reduction in 2025; 6% in 2030; 80% in 2050

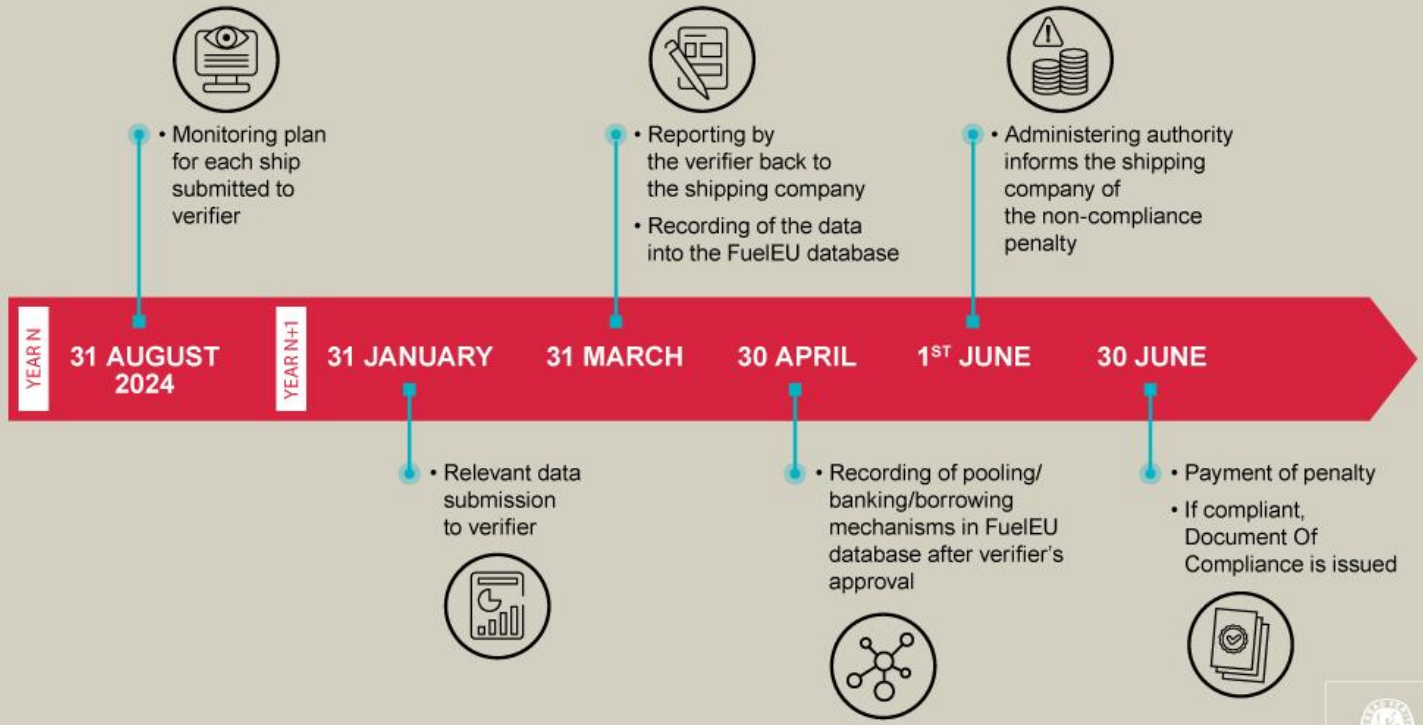


# 3.3 What is FuelEU?

- Requires passenger and container ships to use onshore power supplies at all relevant ports from 2030, when at berth for more than two hours.



# ANNUAL FUEL EU MARITIME COMPLIANCE SCHEME

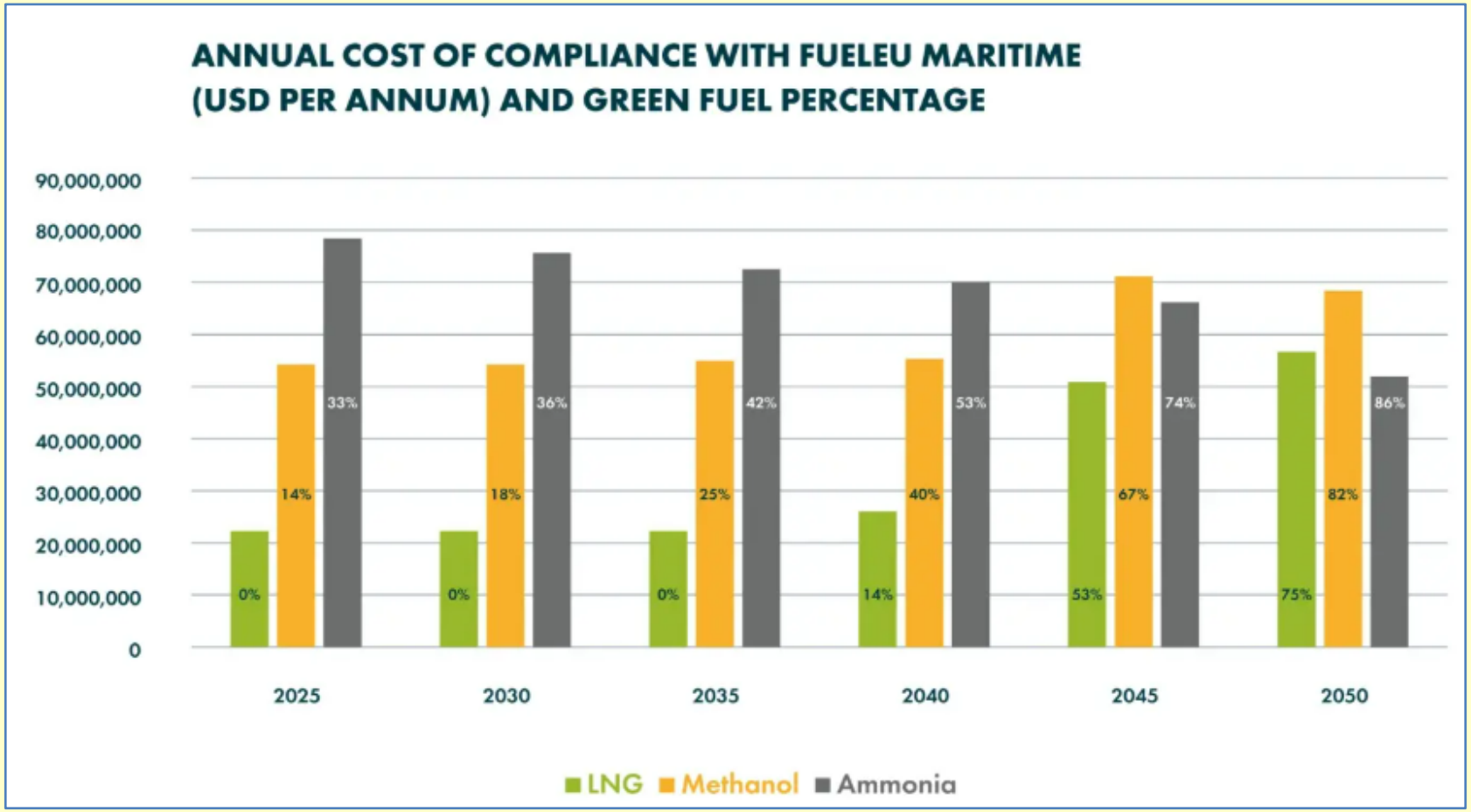


# FuelEU Maritime costs compared

| 50,000 dwt MR tanker operating on TC14 Houston – Amsterdam* | | |
|---|---|---|
| | FuelEU Maritime Penalty 2025 | Fuel Cost |
| VLSFO | $29,400 | $483,000 |
| LNG | ($151,000) | £487,000 |
| Methanol | $253,000 | $2,225,000 |
| Ammonia | $262,000 | $1,910,000 |

| 180,000 dwt capesize operating on C2 Tubarao– Rotterdam round voyage* | | |
|---|---|---|
| | FuelEU Maritime Penalty 2025 | Fuel Cost |
| VLSFO | $66,600 | $942,000 |
| LNG | $-327,000 | $973,000 |
| Methanol | $253,000 | $4,698,000 |
| Ammonia | $557,000 | $4,010,000 |

# Case Example



LO4

# 4. World Financial System For Shipping Finance

# 4. Financial System for Shipping Finance

- Shipping considered a capital-intensive industry.
- Due to limited resources for business needs, ship owners and companies are putting equal emphasis on:
  - financial liquidity;
  - profit maximization;
  - operational flexibility; and
  - managerial efficiency.

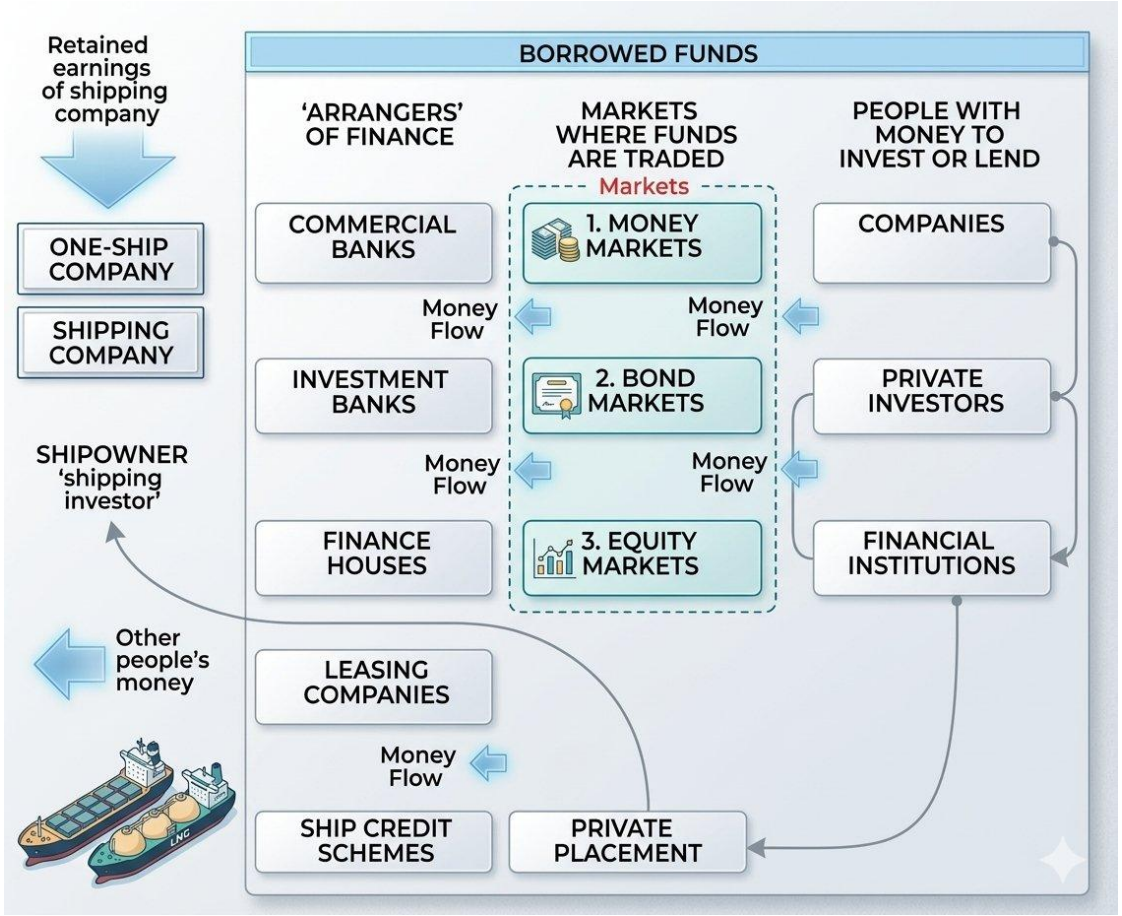
# 4. Financial System for Shipping Finance

- Before WWII, retained earnings of shipowners was primary source of ship financing.
- As ship size grew and price soared, internal funds insufficient – heavily relied on external financing for funding needs.
- Diverse and new forms of external financing approaches are made available – bank financing, shipping funds, initial public offerings (IPOs), bonds, leasing schemes, private placements, venture capital and shipbuilding credit etc.

| RANK | SHIPPING | FINANCE AND LAW | MARITIME TECHNOLOGY | PORTS AND LOGISTICS | ATTRACTIVENESS AND COMPETITIVENESS | OVERALL RANK |
|---|---|---|---|---|---|---|
| 1 | SINGAPORE | LONDON | BUSAN | SINGAPORE | SINGAPORE | **SINGAPORE** |
| 2 | ATHENS | NEW YORK | SINGAPORE | SHANGHAI | ROTTERDAM | **ROTTERDAM** |
| 3 | TOKYO | OSLO | OSLO | ROTTERDAM | LONDON | **LONDON** |
| 4 | SHANGHAI | SINGAPORE | SHANGHAI | NINGBO | COPENHAGEN | **SHANGHAI** |
| 5 | HAMBURG | TOKYO | LONDON | HAMBURG | HAMBURG | **OSLO** |

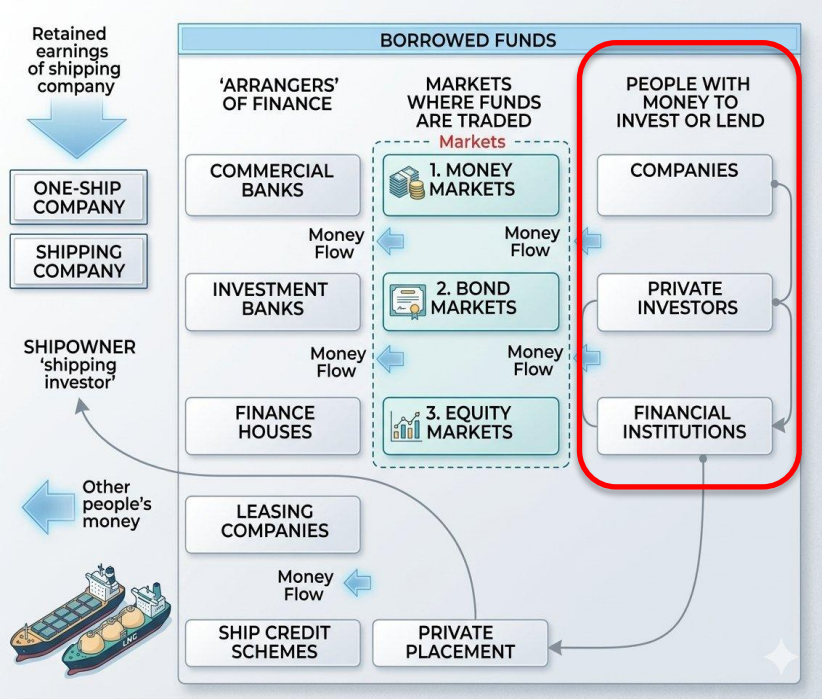
Leading Maritime Cities Report 2024: Amid a sea of change, Singapore retains top spot_信德海事网-专业海事信息咨询服务平台 (xindemarinenews.com)

# 4. Financial System for Shipping Finance



# 4.1 Sources of Investment Funds

- Companies (corporate savings) who have spare cash to invest in short or long term.
- Private investors manage their own investments or through private (or investment) bankers.
- Financial institutions who manage the world's savings and pension funds.



# 4.2 Arrangers of Finance

- These are professional fund providers/managers who invest in shipping through the following two main options:

  (i) direct investment – investor commits funds to a business venture for a share of the profits (dividend for immediate returns and retained earnings for long term growth and returns).

  (ii) lend to the borrowers for (a) pre-determined period (b) regular interest payments and (c) pre-determined schedule for repayment of the principal in full.

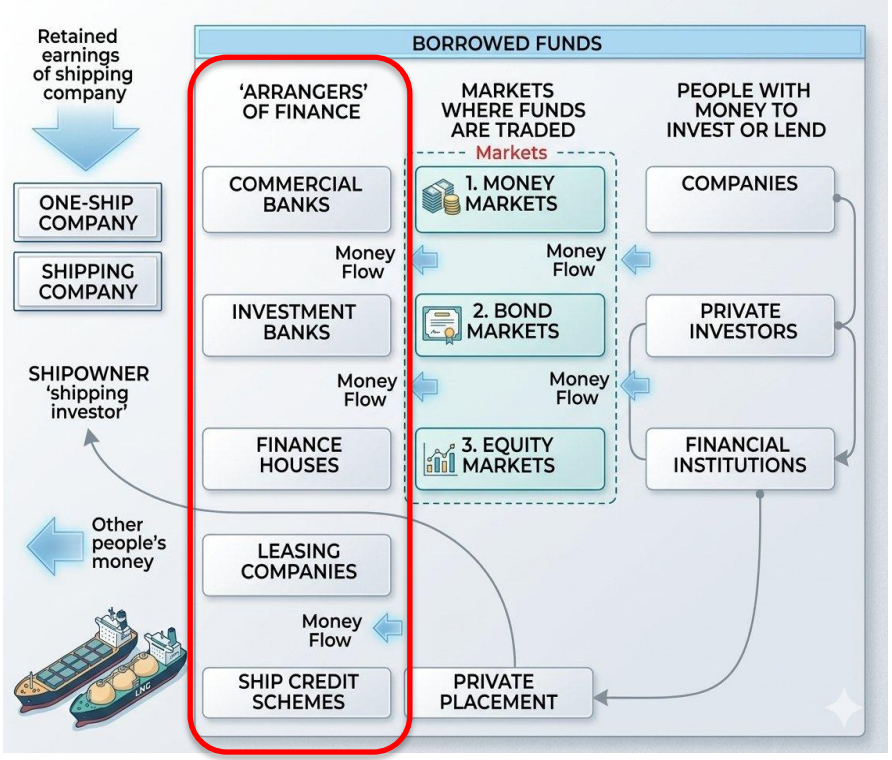
# 4.2 Arrangers of Finance

| Investors | Lenders |
| --- | --- |
| Take risk for return (profit) | Get paid interest (return) |
| Concern upside – higher expected return due to higher risk. | Want to be sure they will be repaid. Downsize risk to accept lower return. |
| How profitable could the investment be? | Is this business sound? |
| Is this a business with say 30% return? | Could it survive in an adverse market? |
| Is there a convincing reason why profits will be high? | Are borrowers taking risks that might damage their ability to repay |

# 4.2 Arrangers of Finance

Major players:

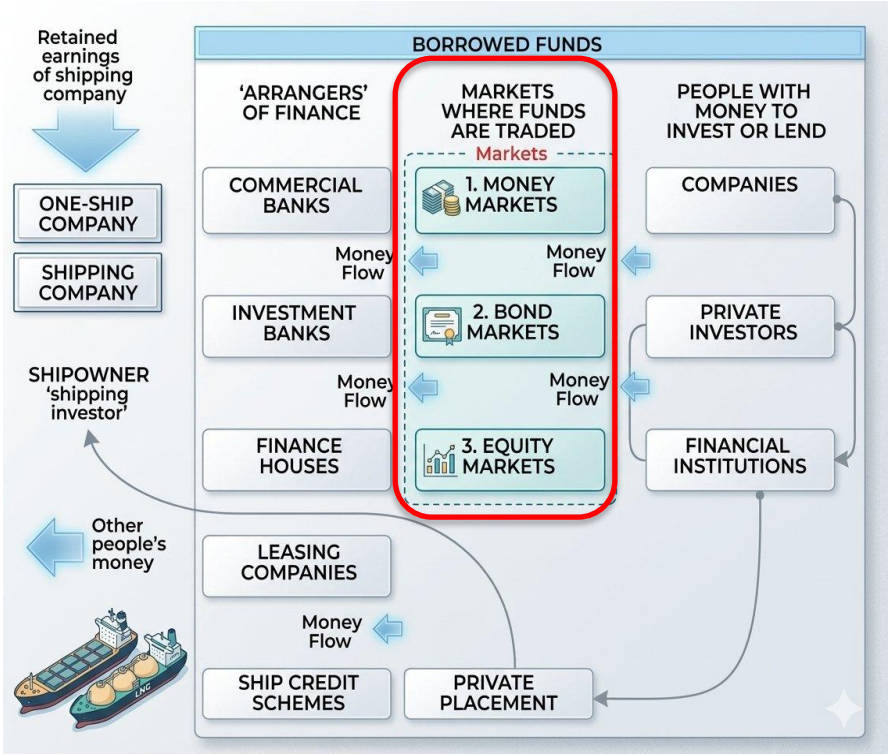
- _____ banks – provide loans individually or through syndicates.
- _____ banks arrange loans, IPOs, private placements of debts or equity or bond issues.
- _____ provide loans from their own funds and put together finance packages.
- _____.
- _____ with credit facilities available from government-backed agencies.



# 4.3 Markets Where Funds Are Traded

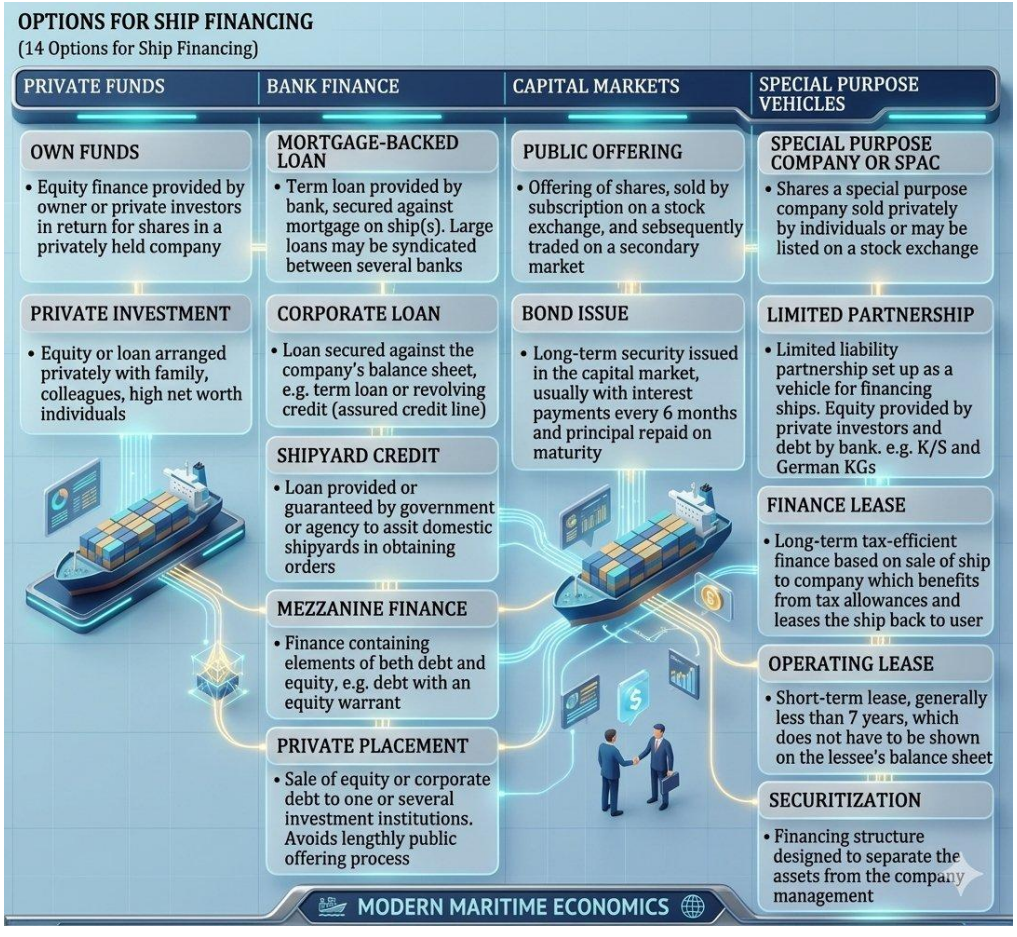
Two possible ways:

- Financial markets
  - money markets for short term loans
  - bond markets for long-term bonds
  - equity markets > IPO and rights issues and placements.
- Private placement of debt or equity through private institutions.



# 5. Main Methods of Raising Shipping Finance

# 5. Methods of Raising Shipping Finance






# 5.1 Private Funds

# 5.1 Private Funds

Includes two main sources:

1. ‘own funds’ from business itself (equity finance provided by owner’s private resources or earnings) or from private investors in return for shares in a privately held company.

2. ‘private investment’ funds (equity or loan arranged privately with family, colleagues, high net worth individuals)

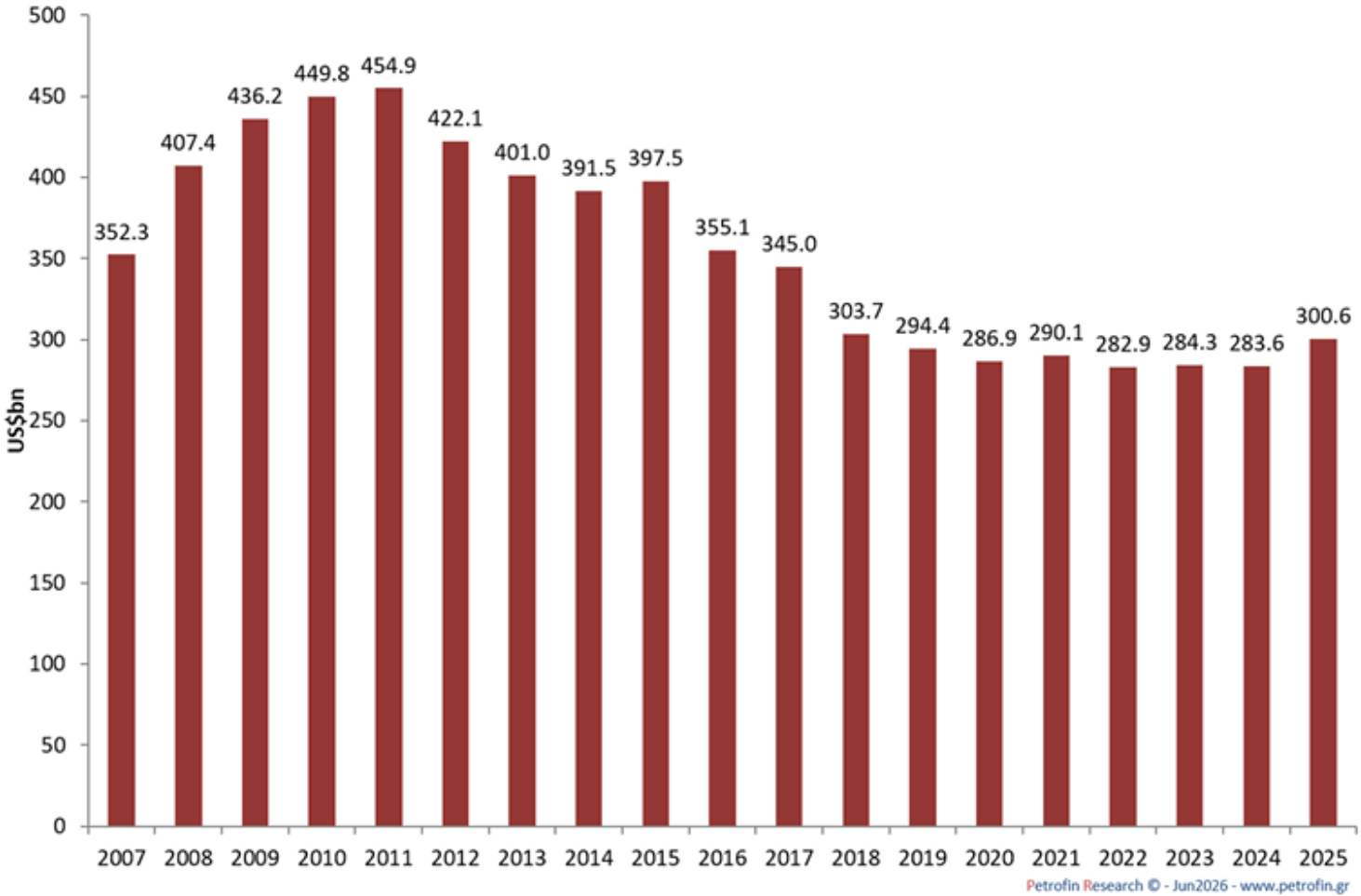
LO6

# 5.2 Bank Finance

# 5.2 Bank Shipping Finance

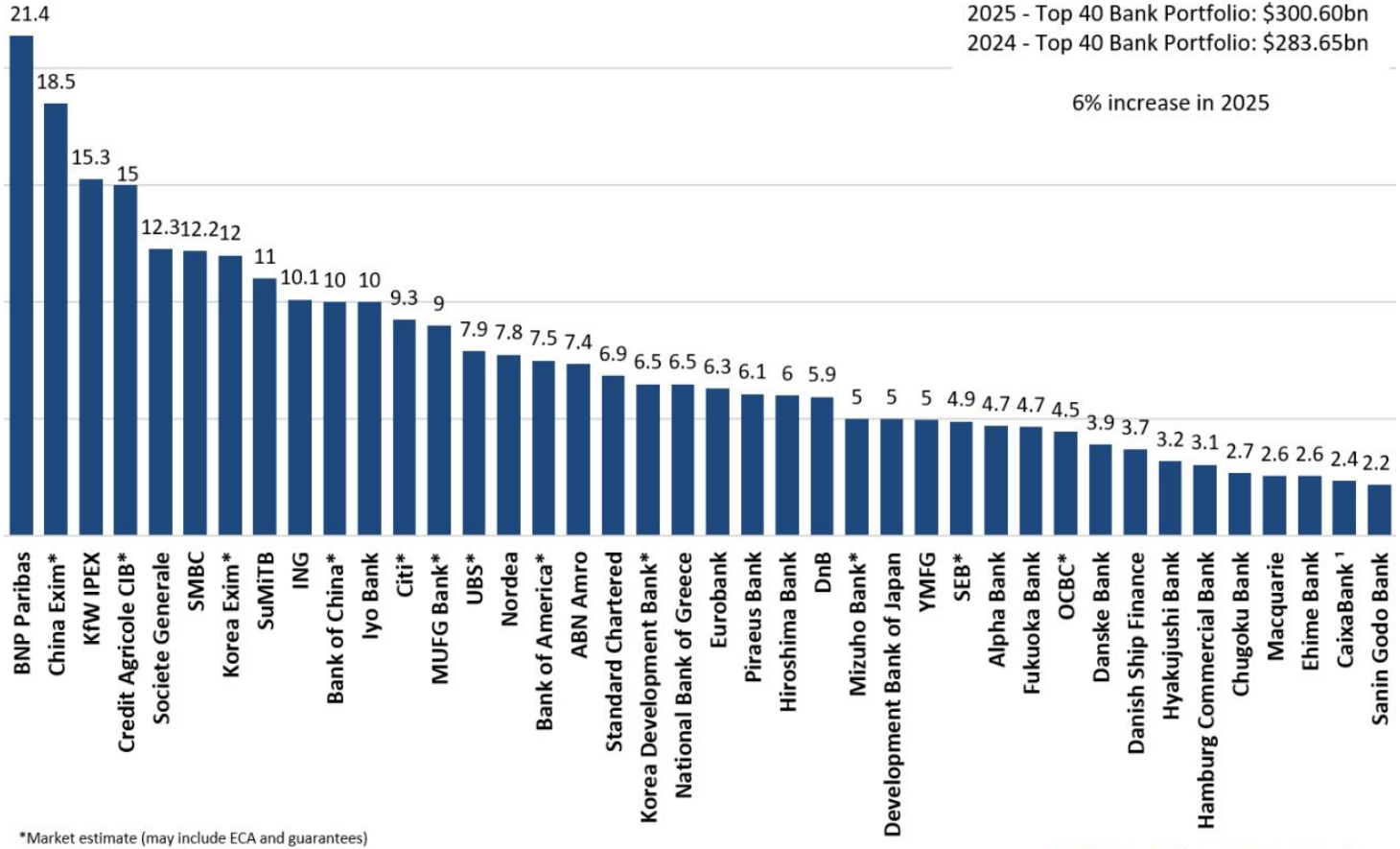
- Main and most important source of ship finance.
- Provide borrowers with quick and flexible access to capital while retaining full ownership of business.
- Examples: *BNP Paribas, ING, Credit Argicole*

# Top 40 Banks Lending to Shipping




Petrofin Research © - Jun2026 - www.petrofin.gr

# Top 40 - Global Ship Finance Banks Ranked - in US$bn



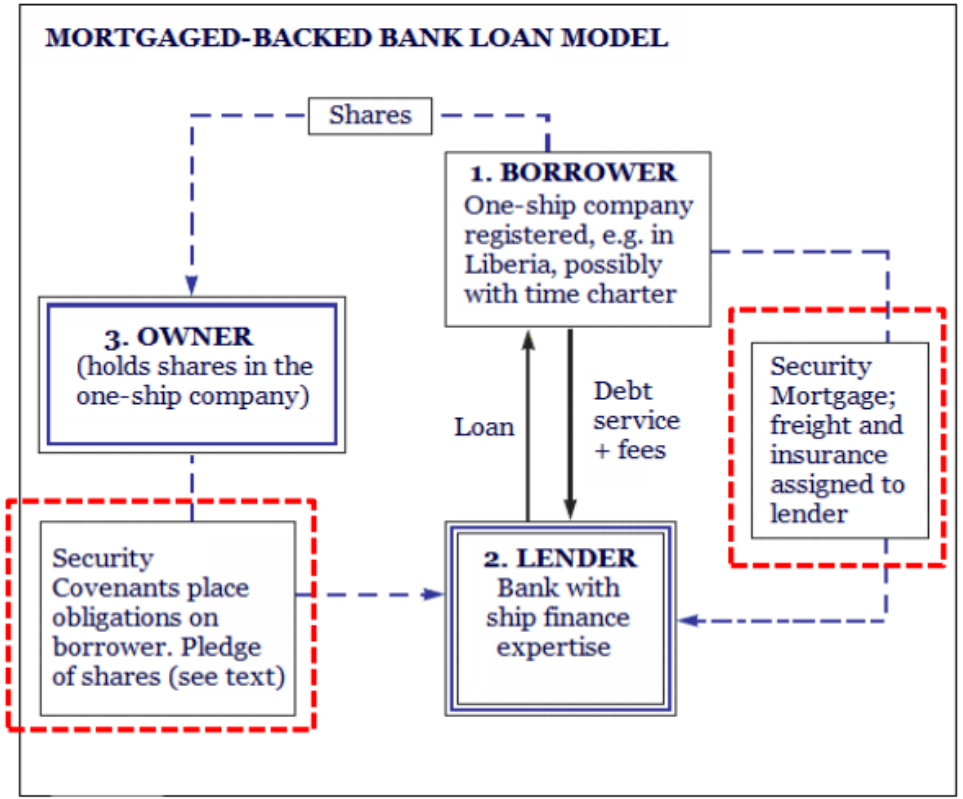

*Market estimate (may include ECA and guarantees)

[1]Excludes tax lease structures and ECA-backed financing

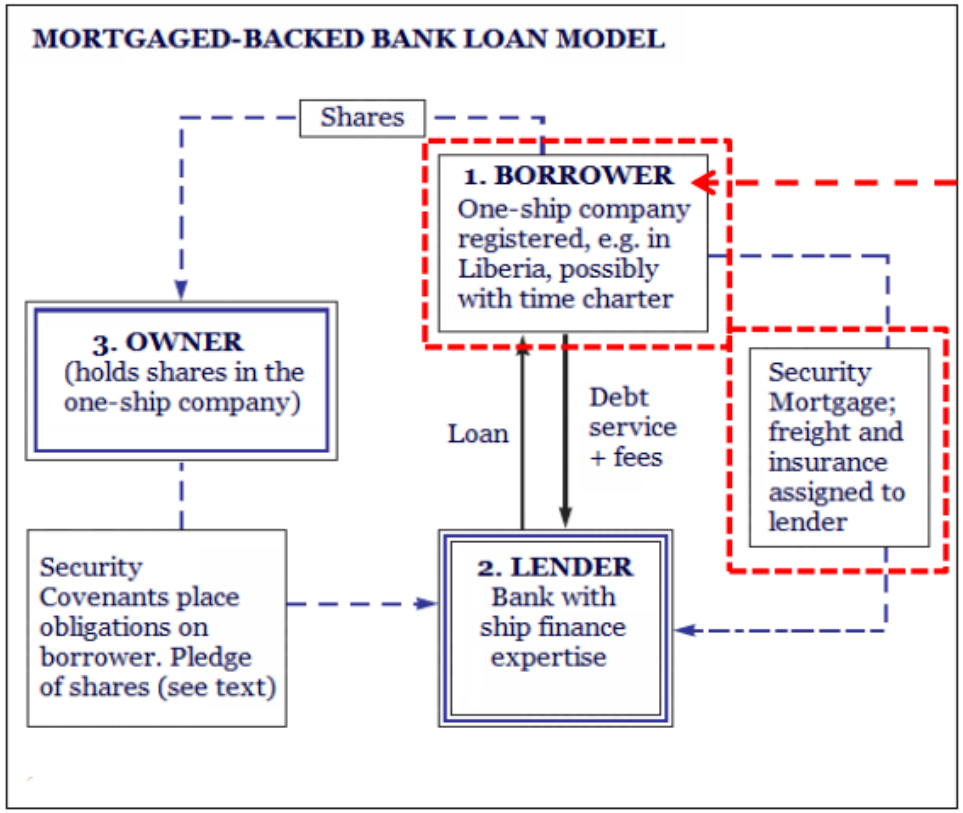
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# 5.2.1 Mortgaged-Back Loan

- Relies on the ship for security (sometimes with assignment of insurance and earnings), allowing banks to lend to one-ship company.

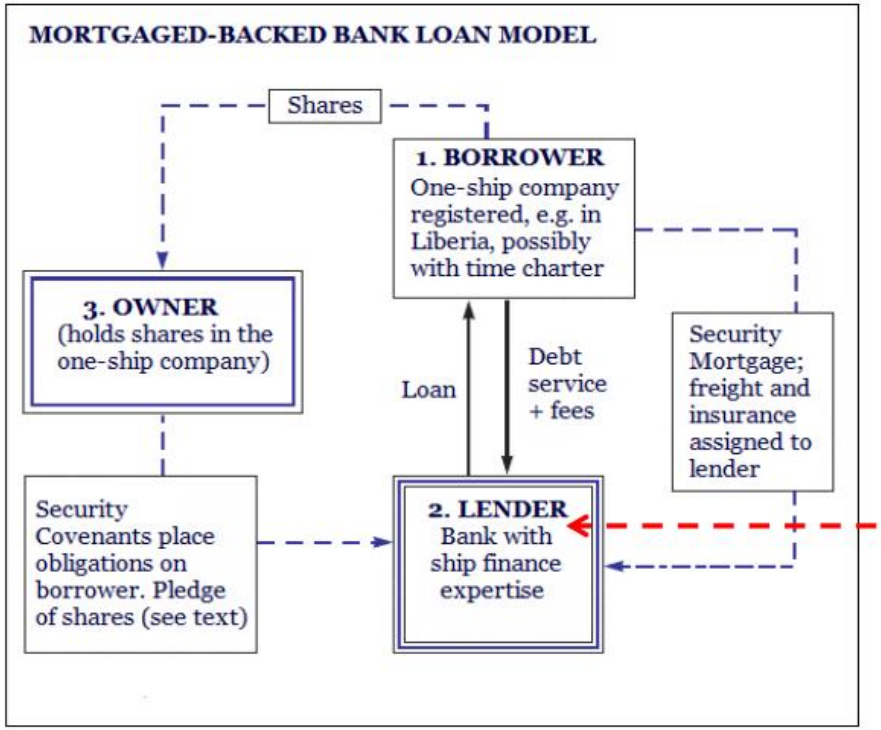


# 5.2.1 Mortgaged-Back Loan




- the borrower is a one-ship company registered in a legally acceptable jurisdiction (eg. Liberia)
- this one-ship company structure isolates the asset from any claims arising elsewhere in the owner's business
- security is sought from the borrower (the ship owner) – the ship as the mortgage, assignment of earnings and assignment of insurance

# 5.2.1 Mortgaged-Back Loan




- to raise a loan, the shipowner approaches the bank and explains his requirements, or vice versa
- if the bank is prepared to consider a loan, the bank officer draws up a proposal (term sheet)
- the lender obtains a valuation of the ship offered as *security/ collateral* and decides what proportion of its current market value can safely be advanced

# 5.2.1 Mortgaged-Back Loan

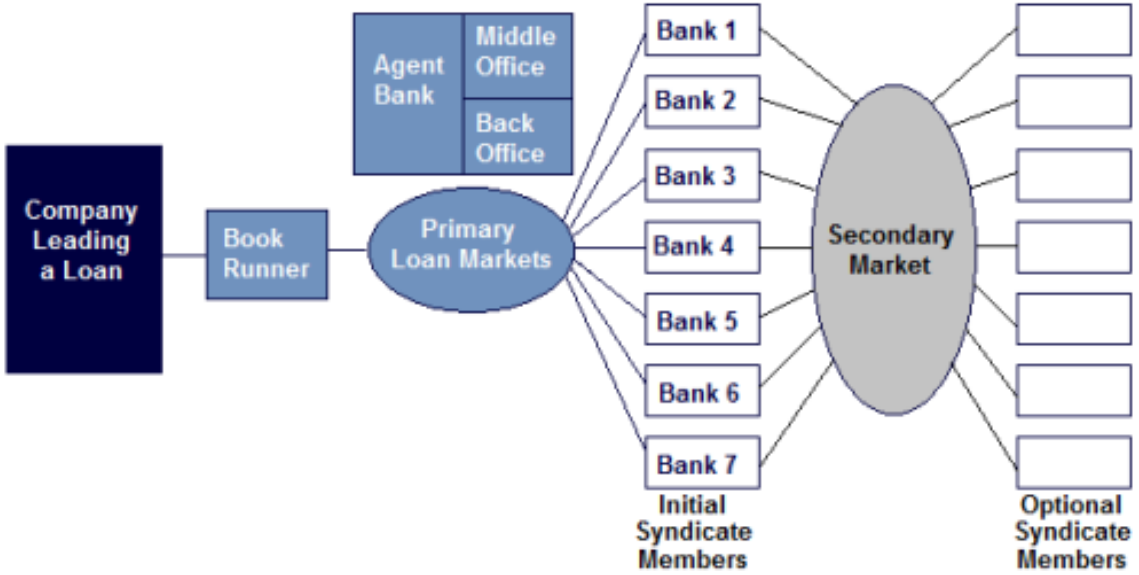
- Loan proposal set out in a letter with a *term sheet* attached generally covers at least seven key issues.
  - ⇨ amount (maximum size of the loan);
  - ⇨ tenor;
  - ⇨ repayment;
  - ⇨ interest rates;
  - ⇨ fees – to cover bank's cost in arranging and administering the loan;
  - ⇨ security;
  - ⇨ financial covenants.

# 5.2.2 Corporate Bank Loan

- For large shipping companies owning a fleet of ships, borrowing against individual ships under bilateral mortgage is inconvenient.
- Large companies with well-established financial structures prefer to borrow as a company, using their corporate balance sheet as collateral with a group of banks.
- Corporate loan may involve substantial sum with relatively high risk, banks may involve 'syndication' to share/transfer their risk(s) to other banks.

# 5.2.2 Corporate Bank Loan

- Lead bank must manage the relationship with the borrower whilst organizing a syndicate of banks to provide the loan.
- Time taken to arrange a syndication depends on loan complexity.



# 5.2.3 Shipyard Credit

- Shipbuilding credit is provided by shipyard to potential ship buyers.
- Significant form of shipping finance for newbuildings.
- Importance of shipbuilding industry to national economy and employment.
- Normally backed by national export credit agencies (ECA) or the banks of the government authorities (e.g., *China EXIM, Korea EXIM*)

# 5.2.3 Shipyard Credit

- Several forms of shipyard credit:
  - ⇨ _____: : provided by government's export credit agencies or banks.
  - ⇨ _____: for foreign shipowners to facilitate them to secure debt/loan from their commercial banks through the security of guarantee from shipyard's government.
  - ⇨ _____: Guarantee from shipyards' bank or government in case of failure to of completion of the ship – stage payments exercised should be refunded.
  - ⇨ _____: – shipyards will allow ship buyers to pay some part of the contract price (normally the final payment) in installment plus interests in several years later after delivery.

# 5.2.3 Shipyard Credit

- Two main types of financing with reference to time frame of delivery of newbuildings:

  ⇨ pre-delivery finance; and

  ⇨ post-delivery finance.

# 5.2.3 Shipyard Credit

## Pre-delivery finance

- ‘stage payments’ to shipyard for material and labour.
- Involves downpayment and balance for keel laying, engine delivery, launching and delivery.
- If pre-delivery credit arranged:

  ⇨ ship owner makes first payment from own funds;

  ⇨ finance makes remaining stage payments.

# 5.2.3 Shipyard Credit

## Post-delivery finance

- Final payment drawn on the delivery of the ship.
- May be obtained from three sources:

  ⇨ shipyard credit scheme:

  ⇨ commercial bank credit; and

  ⇨ leasing (see 6.4.3)

# 5.2.4 Mezzanine Finance

- Hybrid of debt and equity financing that gives lender the right to convert the debt to an equity interest in the company in case of default.
- Mezzanine lenders take more risks and expect higher returns > 10% to 15% per year
- Covers the 15% to 30% equity shortfall when other lenders only finance 60% to 80% of a vessel's value.
- Not widely used in shipping.

# 5.2.5 Private Placement of Debt and Equity

- Private sale of new shares, bonds or secured notes to selected institutional investors such as pension or insurance funds or leasing companies.
- Allows established companies to bypass lengthy IPO process to raise funds quickly and inexpensively.
- Common uses in maritime: *Fleet expansion*, *refinancing* or *working capital* (boost liquidity for daily operational expenses)

LO7

# 5.3 Capital Markets

# 5.3 Capital Markets

- Large companies use capital markets (for long term financing) to raise finance either by public offering or bond issue.
- Advantage: once company is known and accepted, offers quick and inexpensive way of raising large sums of money.

# Singapore tanker broker Vantage to raise $13m in US IPO

*Vantage Corp is set to begin trading on the NYSE American today, using the proceeds to drive global expansion and digital innovation*

12 Jun 2025 | **NEWS**

## TS Lines to raise up to $145m for fleet upgrade from Hong Kong IPO

*As it becomes the first Hong Kong-listed Taiwanese carrier, TS Lines will fund two newbuildings ordered earlier this year*

25 Oct 2024 | **NEWS**



by Carol Yang

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With a two-decade presence in China, the Taipei-based company acknowledges the risks posed by tensions across the Taiwan Strait

## Icon Energy debuts on Nasdaq after $5m IPO

*Bulk firm is latest public market venture for Panayotides shipping family*

15 Jul 2024 | **NEWS**



by Nigel Lowry

nigel@lowry.gr

Icon starts with one bulk carrier but plans to grow, it says

# 5.3.1 Public Offering

- Shipping companies can raise equity by arranging a public offering of stock to be traded on one or more of the stock exchanges around the world.
  > New York, London, Oslo, Tokyo, Hong Kong, Singapore
- Helps channel public capital to companies with a good track record and solid earnings, financial standing and sound management.
- Traditionally and historically, shipping stocks not very attractive to investors > **why?**

# 5.3.1 Public Offering

Many conditions to be publicly listed which need special attention before deciding to offer public equity.

- Maturity of equity market directly affects investors confidence – bearish or bullish.
- Choice of stock exchanges (regulatory framework).
- Market value of shipping company.
- Better prospects when shipping market cycle is in true recovery or peak to attract potential investors and able to raise higher amount of funds.

# 5.3.1 Public Offering

## Advantages

- Large-scale, quick and efficient funding to support new investment projects and sustain business growth.
- Enhance corporate awareness among authorities, public, bankers and industry participants.

# 5.3.1 Public Offering

## Disadvantages

- Shipping companies' decisions and activities closely scrutinised and fully disclosed.
- Procedure is demanding and tortuous – involves army of professionals and costly.
- More requirements and compliance with legal, statutory and listing requirements – maintaining transparency.
- Shareholding and control inevitably diluted.

# 5.3.2 Bond Issue

- Bond is a debt security (known as a ‘note’).
- Interest-bearing; issuer pays regular interest every 3 or 6 months.
- Redeemed on a specific date, e.g., *10 years time* – may be repaid in balloon payment partially or fully upon the expiration of the bond.

# 5.3.2 Bond Issue

- Traditionally financing ships with bonds issuance not prime choice for shipowners:
  - shipping has credit ratings that are below investment grade;
  - high public debt default rate;
  - bonds issued fall into the high-yield bond category with interest rate on the high side.

- Development of bond market and risk perception by the investors > lack of confidence will negatively affect the use of bonds or at high interest rate and small amount.

# 5.3.2 Bond Issue



**Navios Partners eyes Nordic bond issue as fleet renewal continues**

- *Greece-based owner mandates banks to arrange investor calls for next week*
- *Fresh boxship and MR2 charters secure another $114m in revenues*
- *Owner agrees to sell 15-year-old VLCC for $52.5m*

17 Oct 2025 | NEWS

## Advantages

- Provide creditworthy private companies which do not wish to go down the public equity route.
- Used by established public shipping companies with significant market capitalisation, credit status, and relationship with investment institutions to raise relatively large amounts of capital quickly, easily and flexibly.
- Compared with bank debt, bonds offer longer term of financing, typically 10-15 years.

# 5.3.2 Bond Issue

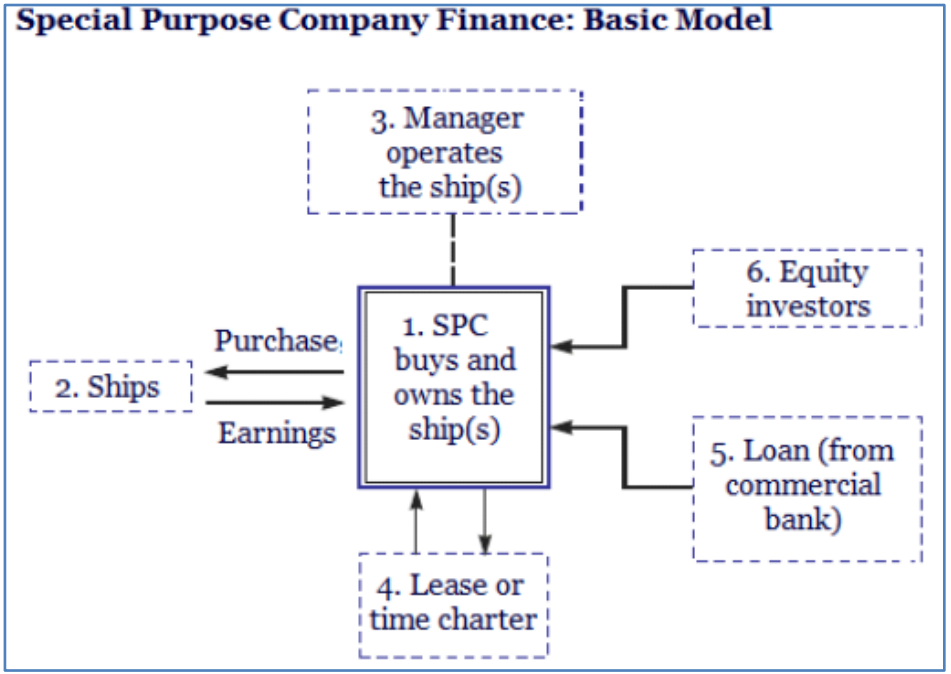
**Disadvantages**

- Coupon requirements will be demanding due to the speculative ratings assigned by rating agencies.
- Bond holders' tolerance for default of interest payment is low:
  - dangers of default would then legally entitle the investor to petition for winding up of the business as it is a debt in nature and normally does not attach with any collateral.

LO8

# 5.4 Special Purpose Vehicles (SPVs)

# 5.4 Special Purpose Companies




- Special purpose companies/vehicles or special purpose acquisition corporation (SPACs) buys ships and either leases or time (bareboat) charters them out.
- Appoints manager to operate the ships and funds obtained from equity investors, supplemented by a bank loan.

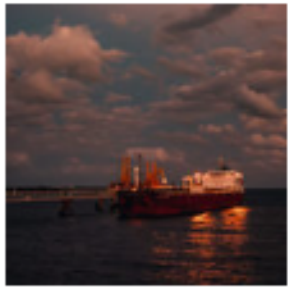
# 5.4.1 Finance or Operating Leasing

- Leasing separates the use/operation and ownership of the ship.
- Lessor (i.e., legal owner) hands the ship over to the lessee for a period of time depending on the type of lease.
- At the end of the lease, the ship reverts to the lessor.

# 5.4.1 Finance or Operating Leasing

## Ship leasing 'here to stay'

in International Shipping News  24/06/2021



Leasing as a form of ship financing is here to stay, and it's up to the traditional banks lending to the sector to educate funding newcomers so that the overtonnaging mistakes of the past are not repeated.

That was the viewpoint of three banking experts speaking at the recent Marine Money Hong Kong 2021 Greater Bay Area Virtual Forum.

Stephanie Leow, executive director of shipping finance, global credit markets, at Standard Chartered Bank, described leasing as "definitely part of the financial ecosystem today". Standard Chartered provides financing to some lessors as they shoulder some of the residual risk that the bank is less willing to take on.

# 5.4.1 Finance or Operating Leasing

1. **_____ lease**
   - extends over a long period of time.
   - all maintenance must be carried out by the lessee.
   - ownership options available once lease terminated, at the end of the minimum lease term

2. **_____ lease**
   - usually short-term.
   - lessor (shipowner) will take care of all running costs and maintenance.
   - no purchasing options.

# 5.4.2 Sale-and-Leaseback

- Owner sells vessel to a lessor (often a financial institution) and immediately leases it back under a long-term bareboat charter.
- Unlocks capital while retaining operational control.
- Includes repurchase options.

# 5.4.2 Sale-and-Leaseback

**Advantages:**

- Liquidity injection – converts capital-heavy physical asset into immediate cash.
- Operational control – keeps running the vessel without disruption.
- Balance sheet relief – helps optimize financial ratios.
- Alternative funding – fills gap left by traditional European banks.

# 5.4.2 Sale-and-Leaseback

**Disadvantages:**

- Long-term commitments – rental payments fixed regardless of market downturns.
- Structuring costs – cross-border legal and tax frameworks can incur high fees.

# 5.4.2 Sale-and-Leaseback

## Performance Shipping finances LR1 newbuild with $37.8m sale-and-leaseback deal

- *Bareboat deal with leasing company includes repurchase options*
- *Tanker has been pre-chartered to Mecuria Energy for up to seven years*
- *Move is consistent with 'balanced financial management' of Nasdaq-listed owner*

19 Mar 2026 | **NEWS**



by Nigel Lowry

nigel@lowry.gr

Greece-based tanker owner says finance amount is equal to 70% of contract price

# Jinhui doubles down on newbuild financing

Adis Ajdin • July 30, 2026 283 1 minute read

Jinhui Shipping and Transportation has followed up this week's first leaseback deal with another financing package, securing up to $34m against two ultramax newbuildings at Jiangsu Hantong Ship Heavy Industry.

The Oslo-listed owner will sell the ships, to be named Jin Han and Jin Ming, to two vehicles owned by Jiangsu Financial Leasing before chartering them back for up to seven years.

Financing is capped at $17m per vessel or 60% of their assessed market value, whichever is lower. Jinhui can exercise purchase options after the second anniversary of delivery and must buy each ship back for $5m if the options are not taken up before the charters expire.

The 63,500 dwt vessels were ordered for $34m each in June 2024 and are scheduled for delivery in December 2026 and November 2027.

# 6. Summary

# Summary

- Financial strategy is key to shipping investment and strategy of the company.

  ⇨ if the ship is financed with debt, the company is committed to a fixed schedule of capital repayments, regardless of the market conditions;

  ⇨ if a shipping company has only limited equity capital, the choice is often between (i) an old ship with high running costs but no debt and (ii) new ship with low running costs and a mortgage; and

  ⇨ trade-off between (i) new or old tonnage, (ii) single purpose or multi-purpose tonnage and (iii) debt or equity financing offers enormous range of ship investment strategies.

# Summary

- New regulations and initiatives such as IMO GHG strategy and EU ETS will affect the financial strategy of shipping companies.
  - shipping companies will need to factor in these regulations before decided on ordering new or purchasing secondhand ships.